

BEFORE THE
FEDERAL MARITIME COMMISSION

DOCKET NO. 24-19

PELOTON INTERACTIVE, INC.,

COMPLAINANT,

v.

FLEXPORT INTERNATIONAL LLC,

RESPONDENT.

RESPONDENT FLEXPORT INTERNATIONAL LLC'S
PROPOSED FINDINGS OF FACT

Flexport International LLC (“Respondent” or “Flexport”) respectfully submits Proposed Findings of Facts (“RPFFs”) in support of its Reply Brief.

a. Flexport did not provide “store door” service.

1. Peloton’s claims are completely contradicted by the terms of the very agreements it references in the Complaint. The Complaint specifically alleges that the shipments at issue were transported under Negotiated Rate Arrangements (“NRAs”), Master Service Agreements (“MSAs”) entered into in June 2020 and July 2021, and their respective NVOCC Service Arrangements (“NSAs”). *See* Peloton’s Amended Complaint, Doc. No. 14 at ¶ 14.

2. The two MSAs are essentially identical with respect to their terms. Each MSA provides that Flexport would provide “**global transportation and/or Customs services** as set forth in the service and fee schedules” included in the MSA. CXC-0028 (2020 MSA) at 1, ¶ 1; CXC-0044 (2021 MSA) at 1, ¶ 1 (emphasis added).

3. The MSAs set forth the ocean freight rates for the subject shipments. Notably, the 2020 MSA specifically provided:

3. Bill of Lading Freight Service

a. All shipments will move on CY-CY Ocean Bills of Lading

4. Detention & Demurrage

a. Rates include destination detention free time of up to ten (10) calendar days for US destinations. Rates will be subject to additional surcharges after free time expires as per Flexport Tariff Rule 23-030.

b. Rates include destination detention free time of up to ten (10) calendar days for EU destinations. Rates will be subject to additional surcharges after free time expires as per the Flexport FEWB/FEED Demurrage & Detention Tariff.

c. Demurrage free time and charges will be charged as per Flexport Tariff Rule 23-030.

CXC-0040 (Ex. B to 2020 MSA) at ¶¶ 3-4.

4. Likewise, the 2021 MSA specifically provided:

3. Bill of Lading Freight Service

- a. All shipments will move on CY-CY Ocean Bills of Lading.

4. Detention & Demurrage

- a. Peloton's supplier/s shall be responsible for any additional origin costs.
- b. Rates include destination detention free time/per diem of up to ten (10) days out of terminal. Demurrage for US and CA destinations is per Flexport Tariff. Rates will be subject to additional surcharges after free time expires as per Flexport Tariff Rule 23-030. If EU and AU rates are mutually agreed upon in writing by the parties, the rates shall include destination detention free time/per diem of up to ten (10) days out of terminal and demurrage for EU and AU destinations is per Flexport Tariff. .
- c. Demurrage free time and charges will be charged as per Flexport Tariff Rule 23-040.

CXC-0058 (Ex. B to 2021 MSA) at ¶¶ 3-4.

5. Thus the terms of the MSAs – which Peloton alleges the shipments were transported under – clearly provides that the terms of the shipments were CY-CY and were subject to demurrage and detention at the rates set forth Flexport's tariffs. CXB-3645-CXB-3646, CXB-3701-CXB-3702 (Kardian Dep.) at 201:22 – 202:6, 257:15 – 258:9; CXD-2655, CXD-2658-CXD-2659, CXD-2662, CXD-2670, CXD-2678 (Kardian Rpt.) at 8, 11-12, 15, 23, 31.

6. Further, the NRAs and their respective bills of lading clearly set forth, again, that each transport was CY-CY and subject to the detention and demurrage charges as set forth in Flexport's Rules Tariff. *See* Flexport's Answer and Affirmative Defense, Doc. No. 16, Ex. D (on every page).

7. Flexport is a global logistics service provider. It performs a variety of services – 21 to be exact. CXB-0341 (Tanner Dep.) at 72:14-15.

8. Indeed, the very language of the MSAs clearly contemplates the variety of services offered by Flexport:

Services Provider shall provide to Peloton global transportation and/or Customs services as set forth in the services and fees schedules attached hereto ... (collectively, “Services”).

CXC-0028 (2020 MSA) at 1, ¶ 1; CXC-0044 (2021 MSA) at 1, ¶ 1.

9. Section 7(c) of the 2020 MSA and 7(d) of the 2021 MSA, respectively, each provide separate limits of liability for ocean, air and customs brokerage. CXC-0033 (2020 MSA) at 6; CXC-0049-CXC-0050 (2021 MSA) at 6-7.

10. The quotations provided to Peloton did not indicate that it was providing through transportation or “store door” but were just quotations for all services offered. CXB-0408-CXB-0409 (Tanner Dep.) at 139:18 – 140:21 (Flexport’s responsibility depends on the type of service requested, quoted, and then accepted by the customer); CXB-0068 (Flexport 143(b)(6) Dep.) at 68:17 – 68:23 (explaining that “[w]hen Peloton requested a quote from Flexport, during the process, they would request what services they wanted as a part of that quote.”).

11. Notably, the Parties’ agreements as well as all of the bills of lading indicate that the services will be “CY-CY”. *See* Flexport’s Answer and Affirmative Defense, Doc. No. 16, Ex. B-D. CXD-2654-CXD-2659, CXD2662-CXD2668, CXD-2671 (Kardian Rpt.) at 7-12, 15-21, 24; RX47-RX64 (Bills of lading sample).

12. Finally, the language of each and every quotation clearly provides that inland transportation is provided by Flexport as a transportation broker subject to the regulations of the FMCSA. CXC-0027 (Flexport Quote Shipment ID FLEX-1136147) at 2 (“U.S. trucking services are provided by Flexport International, LLC, a FMCSA licensed broker USDOT #2594279 and MC#906604-B.”); *see also* CXF-0060 (Flexport Quote for

Shipment ID FLEX-1338356); CXE-0154 (Flexport Quote for Shipment ID FLEX-1117021); CXE-0166 (Flexport Quote for Shipment ID FLEX-1112979). CXD-2654-CXD-2659, CXD2662-CXD2668, CXD-2671 (Kardian Rpt.) at 7-12, 15-21, 24

b. Peloton reviewed, approved, and paid each invoice and continued to use Flexport's services for years without complaint or dispute.

13. First, Peloton agreed to pay for the Services at the rates so specified therein. CXC-0029 (2020 MSA) at 2, ¶ 3(a); CXC-0045 (2021 MSA) at 2, ¶ 3(a).

14. For the 2020 MSA, Peloton agreed that, for any item on any invoice which was disputed, Peloton would notify Flexport of such dispute within 7 days. CXC-0029 (2020 MSA) at 2, ¶ 3(c).

15. For the 2021 MSA, this time frame was extended to 30 days. CXC-0045 (2021 MSA) at 2, ¶ 3(c). If such dispute was not resolved, then Peloton could withhold payment. CXC-0045 (2021 MSA) at 2, ¶ 3(c).

16. The NRAs and bills of lading, as well as the publicly-available Rules Tariffs, clearly set forth that Peloton was to be responsible for all D&D charges, at the rates set forth in the Tariff. RX142-RX187 (Flexport Tariffs).

17. Peloton's entire claim is that it was not responsible to pay any detention or demurrage charges because these were "store door" moves:

In the store door shipments, **Flexport, as the common carrier, was responsible for arranging and paying for all aspects of the inland movement of the Peloton Containers.....** Peloton's Amended Complaint, Doc. No. 14 at ¶ 17.

18. Indeed, Peloton readily admits that it utilized a system called “Coupa” to process, review, and approve each one of Flexport’s invoices. *See* Peloton’s Proposed Findings of Fact (“CPFFs”), Doc. No. 80, CPFF223 – CPFF226.

19. Moreover, Peloton had multiple levels of approval for each of the invoices, depending on the amount being charged. *See* CPFF226 – CPFF227.

20. In fact, Peloton testified that “there were several people responsible” for approving Flexport’s invoices, always including a senior manager. CXB-1723-CXB-1728 (Peloton 143(b)(6) Dep.) at 238:6 – 241:17. For higher value invoices, this would include at least 4 individuals, including a director. *Id.*

21. When Peloton was asked, why if Flexport provided such poor service and was assessing ever-increasing D&D charges, did Peloton continue to utilize Flexport’s services for two years, Peloton responded “because we needed to continue to move cargo and did not want to impede our credit limit.” CXB-1716-CXB-1718 (Peloton 143(b)(6) Dep.) at 228:24 – 230:1.

22. However, this was not true, as even after Peloton stopped using Flexport’s NVOCC services, it reviewed, approved and paid a \$5.1 million invoice. CXC-0789-CXC-0791(email regarding payment of Flexport invoices). Peloton then approved and made the payment. CXC-0792-CXC-0808.

c. Peloton’s poor business planning and failure to manage its inventory capabilities causes of all of D&D charges at issue.

23. Peloton’s grossly negligent business practices are well-publicized. *See* Flexport’s Motion to Dismiss, Doc. No. 10, at 4-6.

24. As succinctly stated by Peloton's former CEO John Foley: "To meet market demand, we scaled our operations too rapidly, and we over invested in certain areas of our business....**We own this. I own this, and we are holding ourselves accountable.**"<https://www.nbcnews.com/business/peloton-analysis-mistakes-layoffs-recalls-challenge-company-leadership-rcna17777>

25. Peloton acknowledged the backlog of containers and advises that it is opening two new distribution facilities to address the problems. See CXE-0091 (email dated Nov. 28, 2021).

26. Peloton advised Flexport that Peloton has been notified that SFO Perris is at or over capacity and will not be able to accept inbounds. This continued throughout the week. CXE-0102-CXE-0105 (email regarding lack of capacity in June 2021).

27. Peloton's Perris facility in particular experience massive backlogs and could not received containers. CXE-0108-CXE-0109.

28. Flexport was instructed to halt all deliveries to the Perris facility. CXE-0108-CXE-0109

29. Peloton's capacity issues and its failure to unload and return containers threatened its applications with the ocean carriers. CXE-0116, CXE-0114, CXE-0119-CXE-0120.

30. Peloton did little to nothing to resolve this issues. CXE-0116, CXE-0114, CXE-0119-CXE-0120.

31. Eight (8) shipments alone as claimed by Peloton amounted to \$1,714,170 in D&D. 1111157, 1126127, 1121017, 1117021, 1129896, 1126122, 1109767 and 1150998.

32. These charges alone, in the amount of \$1,714,170 were the direct result, and sole fault, of Peloton's inability to receive and return "IBAS containers". RX236-RX237. Yet these are included in Peloton's claim. Amended Complaint, Exhibit "A".

33. Peloton also includes in its claim tens of thousands of dollars in D&D charges for transportation which was coordinated by Peloton through EDRAY. CXD-1692-CXD-1693, (Smith Suppl. Rpt. Ex. 3) at Transaction # 1100 and 1109.

34. Peloton readily acknowledged its multiple issues with the IBAS Container backlog in Los Angeles. CXC-0713-CXC-0714.

35. Peloton readily acknowledged its capacity issues and that D&D would result from its own failures. RX223-RX224.

36. At its Heseria facility, containers sat in the yard for well over 100+ days. CXC-0704-CXC-0705; CXC-0702-CXC-0702.

37. Flexport made Peloton aware of the consequences of its capacity issues and the increasing D&D that will result. RX232-RX235.

38. Peloton's capacity issues were not confined to Flexport but included other NVOCCs as well, well into 2022. CXC-0826.

39. Peloton was responsible for emptying the containers and notifying the truckers when the containers were empty. CXB-2640-CXB-2641, CXB-2785-CXB-2786 (Baitman Dep.) at 32:25 – 33:6, 177:19 – 178:1.

40. On many occasions, when the trucker arrived to pick up the containers which Peloton said we "empty", they were, in fact, still full or moved (and still full). CXB-2787 (Baitman Dep.) at 179:3-19. This caused further D&D – which Peloton now seeks to claw back.

41. Peloton's counsel prepared a spreadsheet purportedly showing the dates that Peloton notified the trucker that each container was empty in compliance with the Presiding Officer's orders. CXF-0026-CXF27; CXF-0032-CXF-0052b.

42. Regardless, it is noted that Peloton only provides the empty notification dates for 496 of the 7,343 containers. RX3-RX6 (Tanner Second Decl.). That is only 6.7% of the containers at issue.

43. Peloton claims it is not in possession of the information as to when Peloton notified the trucker that the containers were empty. CXF-0026-CXF-0029 (Peloton's Third Suppl. Responses to Flexport's Interrogatories) at 4-7; CXF-0138-CXF-0140 (Letter from Little dated July 17, 2025).

44. However, David Beyar, Peloton's Sr. Manager of Transportation Operations testified that its "ERP system" contained all of the relevant shipment information, including "the audit logs on when the purchase order or shipment was created and then if there were milestones along the way and when that shipment was finally received at our – at one of the distribution centers or warehouses." CXB-2193 (Beyar Dep.) at 145:17 – 146:14.

45. In fact, David Baitman specifically testified that, in preparing the "audit", **Peloton specifically looked at the dates they provided the notification that a container was empty.** CXB-2689, CXB-2785-CXB-2786 (Baitman Dep.) at 81:10-25; 177:12 – 178:1.

46. Peloton in fact only used the Warehouse App for 63 of the subject shipments. RXXXX(Tanner Second Decl.).

47. The data from the "Warehouse App" is in fact **contained in the Events Downloads.** CXA-0242 (Tanner Decl.) at 2, ¶10-13.

48. Yet, counsel's letter and Peloton's Third Supplemental Responses state that this data is not included and that Peloton does not have access to the Warehouse App. CXF-0026-CXF-0029 (Peloton's Third Suppl. Responses to Flexport's Interrogatories) at 4-7; CXF-0138-CXF-0140 (Letter from Little dated July 17, 2025).

49. A review of the data entries prepared by counsel for the 6.7% of the containers at issue that he provided indicates that the vast majority of the data is in fact completely incorrect and misleading – of the 498 lines where delivery dates were actually entered, 255 of these are incorrect. RX3-RX6 (Tanner Second Decl.).

50. For example, on the 8th line down is container BEAU5262910, which counsel states was delivered on June 19, 2021, and empty notified on November 16, 2021, but the empty was not returned until February 17, 2022. CXF-0026-CXF27; CXF-0032-CXF-0052.

51. Similarly, container APHU7263406 (4 lines down), which counsel says this was delivered June 26, 2021, and also empty notified on November 16, 2021, but the empty not returned until February 17, 2022. CXF-0026-CXF27; CXF-0032-CXF-0052.

52. For containers CAIU9393322 and TCLU5171642 (many lines down), counsel says these were delivered June 26, 2021, and empty notified on November 16, 2021 – but empty not returned until February 17, 2022. CXF-0026-CXF27; CXF-0032-CXF-0052.

53. Yet, for all of these containers, the June 2021 delivery dates were not the dates that the containers were delivered to Peloton's facility, but rather to JCT's yard because Peloton's facility (Perris) had no capacity to receive them. RX191-RX198.

54. Counsel is attempting to show that, for these containers, there was considerable time between empty notify and pickup date. CXF-0032-CXF-0052 (Peloton's Third Suppl. Responses to Flexport's Interrogatories App. 1).

55. Peloton provided no evidence of lack of appoints, such as from BlueCargo, despite having admitted that it utilized the service – and utilized it in the audit which it has concealed. CXB-1518-CXB-1519 (Peloton 143(b)(6) Dep.) at 31:21 – 32:6; CXB-2112-CXB-2113 (Beyar Dep.) at 65:25 – 66:5; CXB-2783-CXB-2784 (Baitman Dep.) at 175:17 – 176:131; CPFF244.

56. Peloton has not produced any documents from the audit and has identified only two such documents as being “privileged.” RX242.

57. David Baitman was in charge of the audit. CXB-2089 (Beyar Dep.) at 42:8-10; CXB-2780-CXB-2781, CXB-2837 (Baitman Dep.) at 172:25 – 173:12, 229:6-12.

58. David Beyar was the primary employee who conducted the audit at the direction of Mr. Baitman. *Id.*; *see also* CXB-2088 (Beyar Dep.) at 41:15-21.

59. Mr. Beyar further testified that the Google Suite document – which he prepared prior to any mention of litigation and not on the instructions of counsel, contained all of his notes for the shipments. CXB-2213-CXB-2215 (Beyar Dep.) at 166:15 – 168:11.

60. The audit was a work in progress well into 2024. CXB-1576-CXB-1577 (Peloton 143(b)(6) Dep.) at 89:11 – 90:20; CXB-1611-CXB-1612 (Peloton 143(b)(6) Dep.) at 124:7 – 125:1; CXB-1607-CXB-1608 (Peloton 143(b)(6) Dep.) at 120:11 – 121:2; 124:12 - 125:1.

61. All of the drafts of the audit documents (developed prior to retention of counsel) were “rolled up into the audit sheet” and deliberately not produced. CXB-1614-CXB-1617 (Peloton 143(b)(6) Dep.) at 127:22 – 130:17.

d. Gregory Smith is not qualified to offer an expert opinion on liability and failed to conduct the required container-by-container analysis.

62. Gregory Smith was specifically retained by Peloton “to quantify the damages incurred by Peloton”. He is an accountant. Period. CXD-1430 (First Smith Rpt.) at 1, ¶ 3.

63. He was not asked to nor did he undertake analysis to determine whether Peloton may have played some role in any delays leading to the demurrage, detention, and storage charges for any of the more than 7,000 shipments in Exhibit 1. CXD-1443-CXD-1444 (Smith Rpt.) at 14-15, ¶ 38.

64. Mr. Smith makes clear that his legal analysis is based upon his review of the Events Downloads. CXD-1658 (Smith Suppl. Rpt.) at 1, ¶ 2.

65. However, Mr. Smith’s entire opinion is based upon the following false, unsupported premise – that the references to “events” in the Events Downloads (such as chassis, missed appointment, etc.) provides conclusive proof that Flexport was responsible for all of the D&D charges assessed for that particular shipment. CXD-1664-CXD-1665 (Smith Suppl. Rpt.) at 7-8, ¶¶ 16-18.

66. Mr. Smith then just concludes, based solely on the number of times that an “event” was listed, who was responsible for the entire charge. CXD-1659-CXD-1660 (Smith Suppl. Rpt.) at 2-3, ¶ 7.

67. Then Mr. Smith makes the sweeping conclusions that since an “event” was listed, then all D&D charges assessed in that Flex ID Invoice are unreasonable. CXD-1659-CXD-1660 (Smith Suppl. Rpt.) at 2-3, ¶ 7.

68. However, while Mr. Smith references the “events” for each invoice, as the documents reveal, each invoice typically included multiple containers. CXE-0002-3, CXE-0007, CXE-0012, CXE-0016, CXE-0019, CXE-0168, CXE-0172, CXE-0180, CXE-0183, CXE-0186, CXE-0228 RXXX(compilation of invoices).

69. Moreover, Mr. Smith does not link any “event” with any delay - he only concludes that the reference to such event means that any resulting charges were unreasonable, but he does not ever provide any analysis that the “event” actually led to any delay. CXE-0002-3, CXE-0007, CXE-0012, CXE-0016, CXE-0019, CXE-0168, CXE-0172, CXE-0180, CXE-0183, CXE-0186, CXE-0228 RXXX(compilation of invoices).

70. Nor does Mr. Smith link any “event” to any particular charge – **at all**. CXE-0002-3, CXE-0007, CXE-0012, CXE-0016, CXE-0019, CXE-0168, CXE-0172, CXE-0180, CXE-0183, CXE-0186, CXE-0228 RXXX(compilation of invoices).

71. Again, Mr. Smith merely states that an “event” was listed X number of times and thus, **all** charges relating to the referenced invoice should be Flexport’s responsibility. CXE-0002-3, CXE-0007, CXE-0012, CXE-0016, CXE-0019, CXE-0168, CXE-0172, CXE-0180, CXE-0183, CXE-0186, CXE-0228 RXXX(compilation of invoices).

Dated: September 15, 2025

Respectfully submitted,
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CERTIFICATE OF SERVICE

I HEREBY CERTIFY that on September 15, 2025 a true and correct copy of the foregoing was served *via email* to all counsel of record in this matter.

SPECTOR RUBIN, P.A.

By: /s/ Robert Borak

Robert M. Borak, Esq.